



**THE AUDITED RESULTS FOR THE GROUP AS AT 31ST DECEMBER 2012
ARE ANNOUNCED AS FOLLOWS**

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	2012 Shs '000	2011 Shs '000
Revenue	229,908	450,324
Direct costs	(312,535)	(463,058)
Gross (loss)	(82,627)	(12,734)
Other operating income	197,731	54,774
Administrative expenses	(68,922)	(83,342)
Other operating expenses	(29,665)	(26,017)
Operating profit/(loss)	16,517	(67,319)
Finance costs	(29,753)	(99,026)
Impairment provisions	-	(56,010)
(Loss) before tax	(13,236)	(222,355)
Tax credit/(charge)	26,264	(6,733)
Profit/(loss) for the year	13,028	(229,088)
Profit/(loss) for the year is attributable to:		
- Owners of the parent	13,028	(225,812)
- Non-controlling interest	-	(3,276)
	13,028	(229,088)
Earnings per share		
Basic and diluted earnings/(loss) per share	Kshs 0.37	Kshs (6.47)

CONSOLIDATED STATEMENT OF CASH FLOWS

	2012 Shs '000	2011 Shs '000
At start of year	(203,061)	(234,091)
Net cash (used in) operating activities	(4,060)	(42,389)
Net cash from investing activities	274,680	415,633
Net cash (used in) financing activities	(75,659)	(316,589)
Effect of exchange rate changes	2,696	(25,625)
At end of year	(5,404)	(203,061)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Group		Company	
	2012 Shs '000	2011 Shs '000	2012 Shs '000	2011 Shs '000
ASSETS				
Non-current assets	431,624	629,135	439,092	636,601
Current assets	63,985	137,663	63,986	132,695
TOTAL ASSETS	495,609	766,798	503,078	769,296
EQUITY AND LIABILITIES				
Share capital	177,019	177,019	177,019	177,019
Share premium	10,502	10,502	10,502	10,502
Reserves	10,766	(16,963)	15,314	2,062
Shareholders' funds	198,287	170,558	202,835	189,583
Minority interest	-	(15,282)	-	-
	198,287	155,276	202,835	189,583
Non-current liabilities	135,831	202,043	135,831	169,456
Current liabilities	161,491	409,479	164,412	410,257
Total liabilities	297,322	611,522	300,243	579,713
TOTAL EQUITY AND LIABILITIES	495,609	766,798	503,078	769,296

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2012	Share capital Shs '000	Share premium Shs '000	Revaluation reserve Shs '000	Retained earnings/ (deficit) Shs '000	Total shareholders funds Shs '000	Non- controlling interest Shs '000	Total equity Shs '000
At start of year	177,019	10,502	118,238	(135,200)	170,559	(15,283)	155,276
Changes in ownership interests in subsidiaries:							
- realisation on disposal of subsidiary	-	-	-	(15,283)	(15,283)	15,283	-
- opening retained earnings realised on disposal of subsidiary	-	-	-	29,983	29,983	-	29,983
Total profit for the year	-	-	-	13,028	13,028	-	13,028
Transfer of excess depreciation	-	-	(3,157)	3,157	-	-	-
Deferred tax on excess depreciation transfer	-	-	947	(947)	-	-	-
Revaluation reserve realised on disposal of buildings	-	-	(41,759)	41,759	-	-	-
Deferred tax reversal on disposal	-	-	12,528	(12,528)	-	-	-
At end of year	177,019	10,502	86,797	(76,031)	198,287	-	198,287

Basis of preparation

The financial statements have been prepared on the historical cost basis in accordance with International Financial Reporting Standards (IFRS) and the accounting policies have been consistently applied to all the years presented, unless otherwise stated.

Audit opinion

The financial statements were approved by the board on 29 April 2013 and were audited by PKF Kenya and received an unqualified opinion.

Performance

Though a challenging year, we are happy to report an improved financial position, moving the company from its previous negative results to the present position. This comes as good news and is as a result of the carefully planned and sustainable realignment of the company's resources towards its long term goals.

Future outlook

The company is moving forward with its vision as agreed upon in the last Annual General Meeting.

Dividend

The directors do not recommend the declaration of a dividend for the year.

By order of the board


Dr. Chris Obura
Chairman


Mr. Hector Diniz
Chief Executive Officer